



Risk Inventory

Risk is not volatility. Volatility is one measurement of one kind of movement. Risk is the set of ways a position can fail to become the cash you thought it would. Inventory it before you write a claim.

SOURCES TO NAME

Market

The object moves against the claim. Size the loss in money, not in adjectives.

Liquidity

You can be right and still unable to exit at a book that existed a minute ago. Depth and resilience belong here.

Credit / counterparty

The other name on the ticket cannot perform. Prime, clearing, issuer, swap dealer.

Operational

Wrong booking, wrong account, missed corporate action, fat finger, halted venue.

Model

The map you used is not the territory. Greeks, factor loadings, correlation that held until it did not.

Conduct / legal

You were not allowed to hold what you hold, or the way you hold it is not allowed.

Horizon

The claim can be right after you are forced out. Time is a risk source.



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INVENTORY METHOD

- Write the maximum acceptable loss first. Then ask whether the claim is worth that number.
- Separate 'I am uncomfortable' from 'the position is not allowed.' The first is temperament. The second is a rule.
- If two sources can hit on the same day (market + liquidity), do not add them as if they were independent.
- Review the inventory when structure changes: new margin, new halt rule, new borrow.
- A hedge is not a feeling. Name what it offsets and what it does not.